



Britannia Consolidated Q1FY23 results were slightly below estimates on bottom-line.

- Revenue increased by 8.7% YoY to Rs 37009.6mn aided mainly by pricing growth, volume growth was low single digit.
- EBIDTA margins** declined to 13.5% from 15.5% on a QoQ basis, and 16.3% YoY. Price increases taken were lower than commodity inflation that led gross margins dip by 200bps.
- EBIDTA on absolute basis de-grew by 9.6% YoY to Rs 5007.4mn, however 22.7% rise in interest expenses and drop of 8% in other Income led PBT de-grew by 12.7% to Rs 4633mn.
- PAT de-grew by 13.3% YoY to Rs 3374.4mn

Outlook:

- Price increase of ~6-7% would come in H1FY23
- Premium as well as the mass category has been doing well. No down trading in mix in-fact premium is growing better than urban.
- H2FY23 is expected to be better than H1
- On the balance sheet side ICD exposure towards group companies is Rs 6.9bn v/s Rs 7.4bn QoQ.

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21	FY22	FY23E	FY24E
Net sales	115,996	131,361	141,363	155,047	169,119
EBIDTA	18,432	25,092	22,015	24,619	28,427
Margins	15.9	19.1	15.6	15.9	16.8
PAT (adj)	14,155	18,643	15,255	17,555	20,713
growth (%)	22.1	31.7	(18.2)	15.1	18.0
EPS	58.9	77.4	63.3	72.9	86.0
P/E (x)	64.2	48.8	59.7	51.8	43.9
P/B (x)	20.6	25.7	35.6	25.2	18.7
EV/EBITDA (x)	48.5	36.0	41.7	36.9	31.7
RoE (%)	32.1	52.6	59.6	48.6	42.7
ROCE (%)	27.9	40.6	39.6	41.4	41.5

Source: Dalal and Broacha

Rating	TP (Rs)	Up/Dn (%)
BUY ON DIPS	3,870	3

Market data

Current price	Rs	3,775
Market Cap (Rs.Bn)	(Rs Bn)	909
Market Cap (US\$ Mn)	(US\$ Mn)	11,486
Face Value	Rs	1
52 Weeks High/Low	Rs	4153 / 3050
Average Daily Volume	('000)	440
BSE Code		500825
Bloomberg		BRIT.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Jun-22	Mar-22
Promoters	50.55	50.55
Public	49.45	49.45
Total	100	100

Source: BSE

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Conference Call KTA's continue

- **A.Q4FY22 highlights**
 - Volume growth Q1FY23 @ approx. -2%, however no of packages sold is flat.
 - Rs 1.8bn of inflation witnessed in Q1FY23.
 - Commodity Inflation on a QoQ basis Whear Flour: +20%, Industrial Fuel 15%, Palm Oil +5%
 - Inflation over Q3FY21 Wheat Flour 1.2x, Sugar 1.1x, Palm Oil 1.5x, Packaging Material 1.4x, Industrial Fuel 1.9x
 - Cost Efficiencies equivalent to 3% of Revenue to accrue in FY23. (distance to market -4%, Truck Utilization +3%, DG usage rationalized leading to 6% reduction in power cost, renewable energy now contribute 40% of power consumption which has reduced cost by 30% and market returns by another 15%
 - E-Commerce grew by +33% on a YoY basis. Contributes 2.5% of Revenue
 - MILK BIKIS cross Rs 10bn turnover in FY22 and expected to witness good growth going forward as well. 90% market share in Tamil Nadu.
 - 5% revenue from innovative products.
- **B. Network & Distribution highlights**
 - **Direct Reach:** 24.9 lac outlets FY22 v/s 23.7 lacs in Mar-21
 - **Rural distribution @** 27k distributors v/s 26K March-22
 - Market Share gained in Rural was 1.5x of Urban over FY21
- **D. Recent Launches & their revenue:**
 - Biscafe Cracker
 - 50:50 Golmal
 - Nutri Choice - Seeds & Herbs
 - Jeera Marie
 - Bourbon Vanilla Cheesecake
 - Croissant – National scale-up in Choco, vanilla and mix-fruit flavor
 - Treat Cheese Wafers
 - Cup-Cake @ 5 Rs price point
 - Marble Cake
- **E. International business:**
 - Nepal doing well
 - M. East back to double digit growth
- **F. Adjacent categories (including Milk @ 5% of Sales) contribute ~25bn to full year turnover**
 - Dairy witnessed double-digit growth, Winkin Cow grew by 140% YoY
 - Croissant doubled in markets already present (Kolkatta and Chennai) on a YoY basis. Scaled up nationally now. Revenue ~ Rs 1 bn annually (category ~ Rs 5-6bn).
 - Wafers too reached a run-rate of ~Rs1bn p.a.
 - Cakes double digit volume and value growth Bread and Rusks too did well

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- **Capex planned as follows**
 - **Ranjangaon plant:** 15bn total (spent 12bn)
 - **Uttar Pradesh:** Rs 3bn
 - **Tamil Nadu:** Rs 3bn
 - **Orissa:** small extensions
 - **Bihar:** amount not disclosed

Quarterly Financials

Particulars (Rs Mns)	Q1FY23	Q1FY22	Growth	Q4FY22	Growth
Consolidated					
Net Sales	36,538.0	33,519.4	9.0%	35,083.5	4.1%
Other Op Income	471.6	515.2	-8.5%	421.0	12.0%
Total OP Income	37,009.6	34,034.6	8.7%	35,504.5	4.2%
Add: O. Income	555.0	604.7	-8.2%	538.3	3.1%
Total Income	37,564.6	34,639.3	8.4%	36,042.8	4.2%
RAW MATERIALS	(23,361.3)	(20,865.1)	12.0%	(21,998.7)	6.2%
Employee Cost	(1,469.9)	(1,393.2)	5.5%	(1,214.2)	21.1%
O. Exps	(7,171.0)	(6,238.5)	14.9%	(6,794.8)	5.5%
EBIDTA	5,562.4	6,142.5	-9.4%	6,035.1	-7.8%
EBIDTA Less O. Inc	5,007.4	5,537.8	-9.6%	5,496.8	-8.9%
Less Int	(419.7)	(342.1)	22.7%	(337.5)	24.4%
Less Depn	(509.6)	(490.7)	3.9%	(509.3)	0.1%
<i>Less Exceptional</i>	-	-		-	
PBT Before Exceptio	4,633.1	5,309.7	-12.7%	5,188.3	-10.7%
PBT	4,633.1	5,309.7	-12.7%	5,188.3	-10.7%
Less Tax	(1,274.2)	(1,441.7)	-11.6%	(1,409.6)	-9.6%
Share of Profit/Loss from Associate	(1.5)	2.1	-171.4%	0.8	-287.5%
Minority Interest	-	-		-	
PAT Reportd	3,357.4	3,870.1	-13.2%	3,779.5	-11.2%
PAT Adjusted Owner Share	3,374.4	3,895.5	-13.4%	3,798.7	-11.2%
Equity	240.9	240.7		240.9	
EPS (Adjusted PAT)	14.0	16.2		15.8	
OPM	13.5%	16.3%		15.5%	
NPM	8.9%	11.2%		10.5%	
Tax Rate	-27.5%	-27.2%		-27.2%	
% to Operating Income					
RAW MATERIALS	-63.1%	-61.3%		-62.0%	
Employee Cost	-4.0%	-4.1%		-3.4%	
O. Exps	-19.4%	-18.3%		-19.1%	
Total	-86.5%	-83.7%		-84.5%	

Source: Dalal & Broacha Research, Company

Valuation

Commodity especially Wheat and Palm Oil have started cooling off as on June-22; the management believes inflation has peaked-out, and expect approximately a 6-7% price increase H1FY23 to cover-up the last leg.

Biscuits which forms ~75% of the Britannia Revenue is the cheapest form of snacking, hence even in an high inflationary scenario the business momentum with high price increases has been stable.

In case the inflationary trend reverses from Q3FY23, the business will witness good margin expansion on gross margins levels as well as on EBITDA levels due to cost efficiency efforts.

At CMP of Rs 3778 Britannia trades at 51x FY23e EPS of Rs 73 and 44x FY23e EPS of Rs 86. We maintain **BUY ON DIPS** With a target price of **Rs3,870** (i.e.45x FY24 earnings)

Financials

P&L (Rs mn)	FY20	FY21	FY22	FY23E	FY24E
Net Operating Income	115,995.5	131,361.4	141,362.6	155,046.6	169,119.3
Raw materials	(69,274.7)	(76,261.0)	(87,603.0)	(94,888.5)	(101,809.8)
Employee costs	(4,866.9)	(5,273.8)	(5,422.6)	(5,802.2)	(6,382.4)
Other Expenses	(23,422.1)	(24,734.3)	(26,321.9)	(29,737.0)	(32,499.8)
Cost of sales	(97,563.7)	(106,269.1)	(119,347.5)	(130,427.8)	(140,692.0)
Operating Profit	18,431.8	25,092.3	22,015.1	24,618.9	28,427.3
Depreciation	(1,848.1)	(1,978.5)	(2,005.4)	(2,306.0)	(2,531.5)
PBIT	16,583.7	23,113.8	20,009.7	22,312.8	25,895.8
Other income	2,794.0	3,129.3	2,228.3	2,068.9	2,572.9
Interest	(769.0)	(1,109.0)	(1,442.9)	(1,025.7)	(881.0)
Profit before tax	18,608.7	25,134.1	20,795.1	23,356.1	27,587.7
Extraordinary Items /Except	(170.1)	-	-	-	-
Profit before tax(post Excep	18,438.6	25,134.1	20,795.1	23,356.1	27,587.7
Provision for tax	(4,507.0)	(6,630.2)	(5,623.5)	(5,878.7)	(6,943.8)
Reported PAT	13,931.6	18,503.9	15,171.6	17,477.4	20,643.9
Share of Pft and Loss of					
As associates and Minority Int	94.7	141.2	86.4	77.4	69.2
Adjusted PAT	14,154.8	18,643.5	15,255.3	17,554.7	20,713.0
Balance Sheet	FY20	FY21	FY22	FY23E	FY24E
Equity capital	240.5	240.9	240.9	240.9	240.9
Reserves	43,787.8	35,235.7	25,340.1	35,872.9	48,300.8
Net worth	44,028.3	35,476.6	25,581.0	36,113.8	48,541.7
Def. Tax Liab.+Minority Int.	356.5	363.4	275.0	354.6	426.2
Secured loans	7,660.6	7,471.5	7,069.9	7,069.9	5,069.9
Unsecured loans	7,479.9	13,571.5	17,585.5	10,365.5	8,365.5
Total debt	15,140.5	21,043.0	24,655.4	17,435.4	13,435.4
CAPITAL EMPLOYED	59,525.3	56,883.0	50,511.4	53,903.8	62,403.2
Gross block	23,954.9	25,111.8	26,682.7	30,682.7	33,682.7
Accumulated depreciation	(6,562.8)	(8,541.3)	(10,546.7)	(12,852.7)	(15,384.2)
Net block	17,392.1	16,570.5	16,136.0	17,830.0	18,298.5
Capital WIP	395.5	1,165.2	5,356.8	2,000.0	2,000.0
Total fixed assets	17,787.6	17,735.7	21,492.8	19,830.0	20,298.5
Goodwill	1,389.7	1,359.0	1,396.1	1,396.1	1,396.1
Investments	28,932.3	27,806.9	17,623.7	20,123.7	22,623.7
Inventories	7,409.6	10,914.9	13,674.9	12,743.6	13,900.2
Sundry debtors	3,203.6	2,572.7	3,319.3	3,640.6	3,971.0
Cash & bank	1,228.5	2,113.4	1,849.0	6,035.8	10,920.6
Loans & advances	13,130.6	9,995.0	7,980.0	7,980.0	7,980.0
Other current assets	5,144.8	7,493.6	7,302.8	7,814.0	8,361.0
Sundry creditors	(11,162.8)	(13,147.5)	(12,852.2)	(14,038.3)	(15,062.3)
O. Current Liabilities	(5,563.1)	(6,095.7)	(6,932.5)	(7,279.1)	(7,643.1)
Provisions	(2,044.2)	(3,874.7)	(4,851.1)	(4,851.1)	(4,851.1)
Working capital	11,347.0	9,971.7	9,490.2	12,045.4	17,576.4
Deferred Tax Assets	68.7	9.7	508.6	508.6	508.6
Miscellaneous exp.	-	-	-	-	-
CAPITAL DEPLOYED	59,525.3	56,883.0	50,511.4	53,903.8	62,403.2
Cash Flow St. (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Net Profit	14,026.3	18,639.0	15,248.2	17,554.7	20,713.0
Add: Dep. & Amort	1,848.1	1,978.5	2,005.4	2,306.0	2,531.5
Cash profits	15,874.4	20,617.5	17,253.6	19,860.8	23,244.5
(Inc)/Dec in					
-Sundry debtors	738.8	630.9	(746.6)	(321.3)	(330.4)
-Inventories	404.2	(3,505.3)	(2,760.0)	931.3	(1,156.7)
-Loans/advances	(1,507.3)	786.8	2,205.8	(511.2)	(547.0)
-Sundry creditors	(242.3)	1,984.7	(295.3)	1,186.1	1,024.0
-Others	872.4	2,363.1	1,813.2	346.6	364.0
Change in working capital	265.8	2,260.2	217.1	1,631.6	(646.1)
CF from Oper. activities	16,140.2	22,877.7	17,470.7	21,492.3	22,598.4
CF from Inv. activities	(17,299.5)	(770.5)	4,383.6	(3,143.2)	(5,500.0)
CF from Fin. activities	1,289.6	(21,222.3)	(22,118.7)	(14,162.3)	(12,213.6)
Cash generated/(utilised)	130.3	884.9	(264.4)	4,186.8	4,884.8
Cash at start of the year	1,098.2	1,228.5	2,113.4	1,849.0	6,035.8
Cash at end of the year	1,228.5	2,113.4	1,849.0	6,035.8	10,920.6
Ratios	FY20	FY21	FY22	FY23E	FY24E
OPM	15.9	19.1	15.6	15.9	16.8
NPM	11.9	13.9	10.6	11.2	12.1
Tax rate	(24.4)	(26.4)	(27.0)	(25.2)	(25.2)
Growth Ratios (%)					
Net Sales	4.9	13.2	7.6	9.7	9.1
Operating Profit	6.3	36.1	(12.3)	11.8	15.5
PAT	22.1	31.7	(18.2)	15.1	18.0
Per Share (Rs.)					
Net Earnings (EPS)	59	77.4	63.3	72.9	86.0
Cash Earnings (CPS)	66	86	72	82	96
Dividend	35.0	145.0	25.3	29.1	34.4
Book Value	183.1	147.3	106.2	149.9	201.5
Free Cash Flow	(4.82)	91.77	90.72	76.17	70.98
Valuation Ratios					
P/E(x)	64.2	48.8	59.7	51.8	43.9
P/B(x)	20.6	25.7	35.6	25.2	18.7
EV/EBITDA(x)	48.5	36.0	41.7	36.9	31.7
Div. Yield(%)	0.9	3.8	0.7	0.8	0.9
FCF Yield(%)	(0.1)	2.4	2.4	2.0	1.9
Return Ratios (%)					
ROE	32.1	52.6	59.6	48.6	42.7
ROCE	27.9	40.6	39.6	41.4	41.5

Source: Dalal & Broacha Research, Company

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